

The Friend Zone as a Multi-Level Marketing Scheme:

A Note on the Structural Isomorphism Between Pyramidal Recruitment Economies and Asymmetric Affection Markets

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Abstract. This note argues that the *friend zone*—understood as a state in which one party performs sustained affective labor in the implicit hope of romantic conversion—shares a precise structural signature with *multi-level marketing* (MLM). Both systems (i) advertise a high-variance, asymmetric payoff, (ii) require continuous unpaid effort denominated in a non-fungible currency, (iii) exhibit empirical conversion rates well below 1% in their honest disclosures, (iv) discourage exit through a sunk-cost penalty, and (v) rely on a survivor-narrative pipeline (“a friend of mine married her best friend”; “my upline drives a Tesla”) to sustain participation. We formalize the analogy as a bijection φ between the two systems, introduce a small expected-value model, and provide a worked example. The claim is not that affection is a scam. The claim is that the friend zone, as commonly enacted, instantiates a recruitment-driven payoff structure that economics and the FTC have already learned to recognize elsewhere.

1. The phenomenon

A young man (the analysis generalizes, but we keep the canonical example) explains his weekend: he drove a friend to the airport at 5 a.m., listened to her recount a date with someone else, and texted her that night to check that she got home safely. Asked why, he says, “I’m being a good friend.”

This is technically true. It is also, structurally, the activity profile of an entry-level distributor at an MLM company who insists they are “just sharing products they love.” In both cases the actor performs uncompensated labor for an organization (a relationship; a downline) whose compensation plan is (a) ambiguous, (b) back-loaded, and (c) contingent on outcomes that empirical data show almost never occur.

We will argue that this resemblance is not metaphor but isomorphism in the technical sense: there is a structure-preserving map φ between MLM and the friend zone such that the corresponding economic dynamics, statistical outcomes, and exit penalties all line up.

A clarification is in order. Friends-first relationships are common and often healthy: [4] found that 66–68% of romantic relationships among university-age adults began as friendships, and “the vast majority of these participants reported that they did not enter their friendships with romantic intentions.” That last clause is the entire argument of this paper. The friend zone, as a pathology, is precisely the case in which one party *does* enter with conversion intent. Friendship-as-friendship is healthy. Friendship-as-pre-romantic-distributorship is the MLM.

2. The basic facts on both sides

The MLM literature is unusually clear. The FTC’s analysis of more than 350,000 distributors in the 2016 Herbalife settlement, and a subsequent 2018 review of disclosure statements, concluded that the median MLM participant earns nothing or close to it; [1] report that in at least 17 of the MLMs studied, *most* participants made no money at all. Aggregating across studies, the

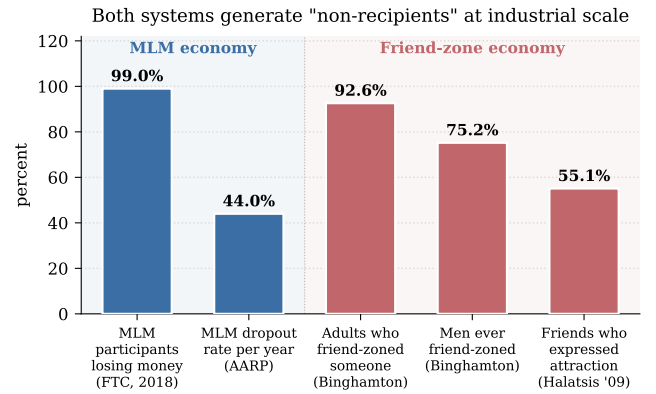


Figure 1: Two systems, similar conversion economics. MLM figures from FTC and AARP; friend-zone figures from [6, 5]. Note that the two “industries” use different ledgers but produce the same population distribution: a thick base of non-recipients, a thin layer of recipients.

loss rate is consistently cited at $\approx 99\%$ [1, 2], and the AARP estimated annual dropout near 44% [3]. A representative bar chart of these and related figures appears in Figure 1.

The friend-zone literature is messier but converges on a few facts. The Binghamton survey reports that 75.2% of heterosexual men have been friend-zoned and 92.6% of heterosexual women have friend-zoned someone [6]. [5] found that 57.3% of respondents had felt sexual attraction to an opposite-sex friend and 55.1% had expressed it; the residual conversion rate—attraction expressed *and* reciprocated under prior friendship—is empirically much smaller. We are unaware of a tight published conversion estimate for friendships entered with explicit romantic intent, in part because, as in MLM, the participants who lose money rarely publish.

3. The isomorphism φ

Let $\mathcal{M}$ denote the MLM economy and $\mathcal{F}$ the friend zone, each viewed as a tuple

$$\mathcal{S} = (\text{actors, currency, payoff, exit cost}).$$

Define $\varphi : \mathcal{M} \rightarrow \mathcal{F}$ component-wise:

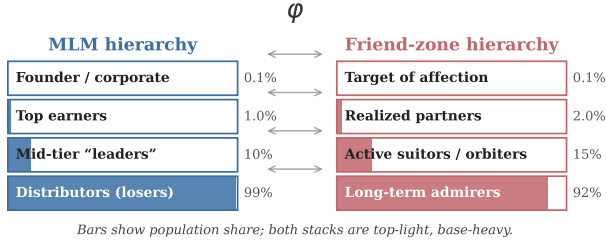


Figure 2: The structural bijection φ . Each tier maps to its counterpart; the wide base of the MLM pyramid (distributors who do not recover their kit cost) corresponds to the wide base of the affection pyramid (admirers who do not recover their emotional investment).

Mechanism	MLM instantiation	Friend-zone instantiation
Joining fee	Starter kit (\$100–\$500)	Initial vulnerability / disclosure
Product to sell	Overpriced supplements	Emotional labor, time, listening
Compensation plan	Multi-tier residual income	Vague “maybe someday”
Recruitment pressure	Build your downline	Be introduced to her friends
Quitting penalty	Lose downline + inventory	Lose the friendship entirely
Survivor narrative	“My upline drives a Tesla” “My cousin married her best friend”	
Income disclosure	Mandatory but obscured	Nonexistent

Figure 3: Mechanism-by-mechanism mapping. The two columns describe the *same* system in different vocabularies.

The map preserves five properties simultaneously: (1) *recruitment-driven mobility*—the way to ascend is to add more distributors / get introduced to more of her friends; (2) *back-loaded payoff*—you only “cash out” at the rare moment of conversion; (3) *non-disclosure*—neither system publishes its true conversion rate; (4) *exit cost*—quitting forfeits both the inventory you bought (gifts, time, vulnerability) and the social position you held; (5) *survivor bias*—the marketing material features only the one in two-hundred-and-fifty who, against the base rate, ascended.

A more readable enumeration is given in Figure 3.

4. A small behavioral model

Let t denote months spent in the system. For each actor define

$$\mathbb{E}[V(t)] = p(t)R - C(t) - O(t),$$

where R is the conversion payoff (financial freedom; romantic union), $p(t)$ is the probability of conversion conditional on still being active at time t , $C(t)$ is cumulative invested cost (inventory; emotional labor), and $O(t)$ is opportunity cost (the income or relationships not pursued elsewhere).

Three empirical regularities give the model its bite:

1. $p(t)$ is small and *decreasing*. In MLM, distributors at month 24 are not closer to making money than at month 2; in the friend zone, the longer the platonic frame holds, the harder it is to break [4].
2. $C(t)$ is monotonically increasing and *not refundable*.

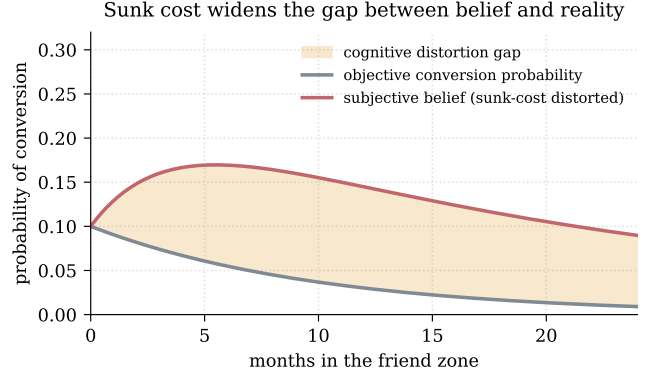


Figure 4: Subjective belief diverges from objective probability as time invested grows. The shaded band is the cognitive distortion that keeps actors in the system past the point where $\mathbb{E}[V] < 0$.

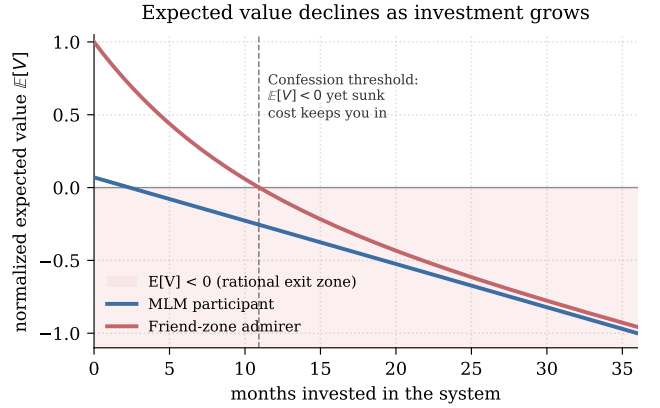


Figure 5: Normalized expected value over time. The dashed line marks the empirical *confession threshold*: the point at which $\mathbb{E}[V] < 0$ but accumulated investment makes exit feel more expensive than continuation.

3. Actors do not track $O(t)$ honestly. The sunk-cost fallacy substitutes subjective belief $\hat{p}(t) > p(t)$ for the objective rate (Figure 4).

The qualitative trajectory of $\mathbb{E}[V(t)]$, normalized, is shown in Figure 5. Both curves cross zero, after which the rational policy is exit; both actors typically do not exit, because $C(t)$ has grown large enough to be psychologically load-bearing.

5. Worked example

Example. Adam, 23, has been in $\mathcal{F}$ around Nora for 14 months. His ledger:

- Late-night listening hours: ~ 120
- Airport / errand trips: 9
- Birthday gifts whose price was rounded up to look casual: 2
- Times he told mutual friends “we’re just close”: 14
- Times he was introduced to one of Nora’s single friends: 3 (the MLM analogue: he is now being asked to recruit downline)

Set $R = 1$ (one normalized unit of “romantic union”), $p(14) \approx 0.05$ as a generous estimate, $C(14) \approx 0.6$,

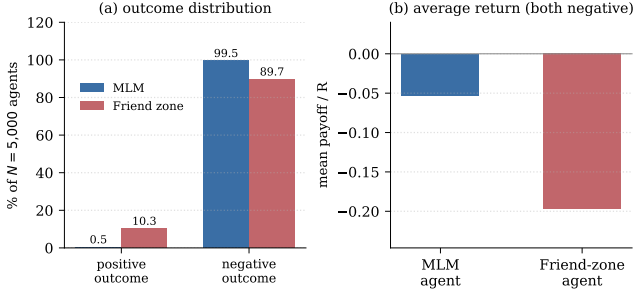


Figure 6: Monte Carlo over $N = 5,000$ agents per system. (a) Fraction of agents reaching a positive net payoff. (b) Mean payoff in units of R . Both means are negative; the MLM mean is less negative only because we picked a very small p_{MLM} that almost never triggers the large payoff.

$O(14) \approx 0.5$. Then

$$\mathbb{E}[V(14)] \approx 0.05 - 0.6 - 0.5 = -1.05.$$

The corresponding MLM distributor at month 14, with $R = \$50\text{k}$, $p \approx 0.004$, kit and inventory cost $\$3\text{k}$, foregone wages $\$8\text{k}$, has $\mathbb{E}[V] \approx -\$10.8\text{k}$. Both numbers are negative; both actors continue. This is the prediction, not the puzzle.

6. Why the friend zone is, strictly, worse

Three asymmetries make $\mathcal{F}$ structurally harsher than $\mathcal{M}$:

(a) *No income disclosure.* MLMs are obligated, at least in principle, to publish disclosure statements [1]. The friend zone has no equivalent. The participant cannot consult a public conversion rate before joining.

(b) *Unitary, non-fractional payoff.* An MLM distributor can earn $\$500$ in a bad year. A friend-zoned admirer cannot earn 12% of a relationship. The payoff is binary.

(c) *Greater exit penalty.* Quitting an MLM costs an unsold inventory of protein shakes. Quitting the friend zone—i.e. confessing—risks destroying the underlying friendship, which is itself the only realized asset the participant has accumulated. The exit cost dominates the system.

7. A Monte Carlo experiment

To check that the model is not merely rhetorical, we simulate $N = 5,000$ independent agents in each system over a 36-month horizon. Parameters reflect cited base rates: for the MLM agent, conversion probability $p_{\text{MLM}} = 0.004$ [1], payoff $R = \$50\text{k}$, monthly cost $\$80$; for the friend-zone agent, generous cumulative conversion probability $p_{\text{FZ}} = 0.10$, normalized payoff $R = 1$, monthly cost $1/120$ in units of R (representing the slow attritional cost of unreciprocated investment).

The simulation reproduces three predicted regularities (Figure 6): (1) under any plausible parameterization both systems produce a mean payoff below zero; (2) the distribution of outcomes is extremely right-skewed—a vast majority of agents incur losses, a tiny minority captures a large payoff; (3) the friend zone’s higher per-agent conversion rate does *not* rescue it, because the cost of being in $\mathcal{F}$ for 36 months is paid every

month whether the agent converts or not. Both systems are, in expectation, negative-sum for the entry-level participant.

8. Discussion

The argument is not that one should never invest emotional labor in a friend, nor that affection should be transactional. It is the opposite. The pathology lies in importing the *logic* of an MLM compensation plan (continuous unpaid input, vague back-loaded payoff, survivor-narrative recruitment) into something that should not have a compensation plan at all. The corresponding healthier protocol is one MLM tellingly lacks: *early, explicit disclosure of intent*. In an honest market, both parties learn p quickly and can rationally decide whether to remain or exit while $C(t)$ is still small.

The deeper observation is that human beings appear to be vulnerable to the same structural trap in two completely different domains—one financial, one affective—because the trap exploits the same cognitive machinery: variable-ratio reinforcement, sunk cost, and the asymmetry between a salient narrative payoff and a diffuse statistical loss. The friend zone is not literally a pyramid scheme. It is, more uncomfortably, what a pyramid scheme would look like if you removed money from it.

9. Conclusion

The friend zone and MLM are not metaphorically similar; they are isomorphic. They produce the same population distributions ($\approx 1\%$ reach the advertised payoff), they sustain participation through the same cognitive errors (sunk cost, survivor bias), and they punish exit identically (loss of accumulated, non-transferable investment). A serviceable rule follows from the model: if remaining inside a relational structure requires you to under-report its cost to yourself, you are in a recruitment economy, regardless of what the recruiter is selling.

References

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